



Inventory

- **Why LIFO?**
 - provides accurate *matching* of economic costs in *COGS* with economic revenues in *NS*
 - measuring economic performance is key
 - estimating mark-ups for Kappa & Lambda
 - allows avoiding overstating *taxable income* and reduce the present value of taxes paid

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- **Why FIFO?**
 - typically reflects *physical flow* of inventory (e.g. fresh milk), but for raw materials (e.g. coal)
 - *easy* to implement, reduces the administrative burden and lowers the risk of mistakes
 - typically leads to *higher reported profit* that include holding gains, helpful to impress investors and get higher bonuses
 - LIFO distortion on BS accumulates over time, allows for *temporary manipulation* of reported income by LIFO reserve liquidation
 - *comparability* with firms using IFRS

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- **Choice Importance**
 - consequential especially in *inflationary* environment, e.g., post COVID-19 pandemic
 - Estes, Turgeon & Martin (pwc, Feb. 1, 2022) *"Taxpayers Should Consider Immediate Action to Adopt the LIFO Inventory Method to Expense High Inflation."* ([link](#))

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- **Less Important**
 - lower *inflation*
 - lower *taxes*
 - less physical *inventory*
 - in individual firms (JIT),
 - due to changes in industry composition (service-based economy)

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References ([Link](#))

- Fried, A. N., A. Rotenstein, and H. Rozen. **2025**. "LIFO or FIFO During Inflationary Times? The Trade-Offs of Valuation Methods." *CPA Journal* 95 (3/4), 32–37.
- Maurer, M. **2023**. "Inflation Has More U.S. Companies Ditching 'Last-In, First-Out' Accounting." *Wall Street Journal*, March 23.
- Muresianu, A. and A. Durante. **2025**. "The Role of LIFO in the Tax Code." *Tax Foundation*.

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Popularity in Use

"On average, an estimated 55% of companies in the S&P 500 used FIFO as their primary inventory method and 15% used LIFO, according to Credit Suisse (...) [in] 2022. The rest of the companies used other options such as the average-cost method or a combination of methods (...)."

"Inflation Has More US Companies Ditching LIFO"
WSJ, March 23, 2023.

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Trends in Use

“About 30 U.S. companies total in 2021 and 2022 switched (...) to FIFO from LIFO (...). That is up from a combined 13 companies in 2019 and 2020, when inflation was less of a concern. No companies have switched to LIFO from FIFO since 2019, Bedrock AI found.”

*“Inflation Has More US Companies Ditching LIFO”
WSJ, March 23, 2023.*

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Specific Industries

Companies with inventory using LIFO are fewer than in the past, but control inventory worth about USD 320 billion. Especially in oil and gas, chemicals, metals and auto parts LIFO remains popular.

(based on FASB comment letter, September 10, 2024)

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Importance of Accounting Method

"(...) 19% of fraud cases in the Audit Analytics database from 2000 to 2014 were related to the inappropriate determination of inventory costs, cost of sales, and inventory balances at the year-end."

*"LIFO or FIFO During Inflationary Times?"
CPA Journal, June 2025.*

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Faithful Representation

"LIFO results in a more accurate income statement that better reflects current economic conditions and protects all stakeholders from the impact of inflation, while FIFO does not."

*"LIFO or FIFO During Inflationary Times?"
CPA Journal, June 2025*

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Economic Ideal

“LIFO comes close to matching the economic ideal while still remaining true to the accounting principle.”

*“The Role of LIFO in the Tax Code”
Tax Foundation, February 27, 2025*

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Economic Consequences

“Repealing LIFO would disincentivize inventory investment, hampering efforts to make US supply chains more resilient and penalizing goods-producing and goods-trading industries.”

*“The Role of LIFO in the Tax Code”
Tax Foundation, February 27, 2025*

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Induced by Managers

“Research has shown that it’s not investors, but rather managers, who prefer using FIFO in order to receive higher compensation, which may be based on income measures (Gul, JCF 2001).”

*“LIFO or FIFO During Inflationary Times?”
CPA Journal, June 2025*

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Managerial Incentives

“Maloney et al. (JB 1993) find that at higher levels of debt, when managers may be under more scrutiny, they are incentivized to make decisions more consistent with the interest of shareholders and are more likely to choose LIFO — minimizing taxes and increasing shareholder wealth.”

*“LIFO or FIFO During Inflationary Times?”
CPA Journal, June 2025*

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Consideration for Switching

“Going off LIFO is a pretty big decision, because [using] it saves companies on taxes,’ Ms. Hanlon [MIT Professor] said. ‘Taxes are kind of at a low rate and inflation is high, so companies’ calculus might be changing due to all these factors combined,’ she said.”

*“Inflation Has More US Companies Ditching LIFO”
WSJ, March 23, 2023*

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Tax Incentives

First, since the Tax Cuts and Jobs Act of 2017 lowered the corporate tax rate from 35% to 21%, the tax benefit of switching to LIFO has substantially decreased.”

*“LIFO or FIFO During Inflationary Times?”
CPA Journal, June 2025*

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Less Inventory

Second, companies have become more adept at inventory management, and just-in-time inventory has helped decrease the amount of time between purchasing and selling, so LIFO and FIFO inventory valuation is not as different as it may have been in the past."

*"LIFO or FIFO During Inflationary Times?"
CPA Journal, June 2025*

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Comparability with IFRS

"a contributing factor to the trend away from LIFO is that IFRS disallowed its use in 2003. Companies who may prefer to use LIFO but also prepare international financial statements have had to prepare two sets of statements."

*"LIFO or FIFO During Inflationary Times?"
CPA Journal, June 2025*

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